

# Remittances as a Social Process: The Singapore-Bangladesh Remittance Corridor\*

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This study argues that research linking the contexts of remittance-sending with remittance-receiving is far more capable of capturing the complexity of remittances and its development dynamics. Focusing on the Singapore-Bangladesh remittance corridor, this study examines remittances in relation to remittance sending, receipt, use and control, and finally their potential for development. The findings suggest that recruitment fees, sources of arrangement of fees, earnings and savings affect the amount and frequency of remittances on the sending side. The study documents male domination in remittance receiving and attributes this to generational patterns of transfer – from sons to fathers or elder brothers. The recipients of remittances enjoy more privileges in the management of remittances. Remittances are invested in both physical and human capital formation and they help migrant workers and their families advance on the road to improved life chances.

## *Introduction*

The remarkable growth in migrant remittances<sup>1</sup> in recent years has drawn the attention of states, international organizations and financial institutions.

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<sup>1</sup> The term 'migrant remittances' generally refers to 'transfers in cash or kind from migrants to resident households in the country of origin' (Bilsborrow et al., 97:321).

The World Bank estimates that remittances totaled US\$420 billion in 2009, of which US\$317 billion went to developing countries (World Bank, 2010). The real value of remittances, however, is likely to be much higher because this official account does not capture remittances sent through informal channels (Abella, 1989). One source estimates such transfers to be between US\$100 and US\$200 billion a year (Sander, 2003:4) while another puts the figure at between US\$200 and US\$300 billion a year (*Migrant Remittances Newsletter*, 2004:1).

Not surprisingly, the renewed interest on remittances has also generated a great deal of research on the topic (OECD, 2005; ADB, 2006; Morrison et al., 2008; for a review, see Adams et al., 2009). Among others, existing studies have explored questions such as the impact of remittances on poverty reduction and leveraging remittances for development in the developing world, especially in the rural areas. In addition to reducing transfer costs and developing institutional partnerships, various studies sought to promote the innovative uses of remittances, expand financial services (particularly how the rural population can access bank services), and enhance productive rural investments in the migrants' countries of origin. The questions that frequently appear in the current literature are how to facilitate remittance transfers and leverage the development potential of remittances in the developing world. To answer these questions, the current literature often tends to focus on either the sending side or the receiving side of remittances.

However, the size of remittances is influenced by factors operating in the context of the remittance-sending country, notably, the earnings, savings and remitting behavior of migrants. Similarly, the receipt and use of remittances influence the developmental implications in the remittance-receiving end. It is therefore imperative to link the sending and receiving ends of remittances for a better understanding of remittances and their potential contributions to development. While knowledge about remittance transfers and the development potential of remittances is crucial to increasing the inflows of remittances and leveraging their development implications, it does not necessarily address remittances as a social process. What is missing in existing research on remittances is linking the contexts of remittance-sending and remittance-receiving to capture this aspect.

Migrant remittances and their implications for development vary greatly from temporary to permanent migration, from unskilled to skilled migration, and from the South-South migration to the South-North migration (Portes, 2009). Broadly, this is what Portes and Borocz called the 'context of exit' and 'context of reception' (Portes and Borocz, 1989). For example, a general analysis of remittances without reference to context and the remittance process may mislead us, as the motivations and implications of

remittances among labor receiving countries in Southeast Asia differ from those of the West which offers the possibility of permanent settlement. In particular, labor migration in Southeast Asia is 'South-South' labor migration. Therefore, any research on remittances should conceptually make clear the context of migration.

Focusing on the Singapore-Bangladesh remittance corridor, the study links both the sending and receiving ends of remittances by examining in greater detail four sites or dimensions of the remittance process – specifically the remittance-sending behavior, the remittance-receiving behavior, the use and control of remittances and their development implications within the migrant household. In particular this study investigates the following research questions. What is the trend of Bangladeshi labor migration to East and Southeast Asia in general and to Singapore in particular? What is the trend of remittance inflows from Singapore to Bangladesh? How does recruitment take place? What kind of social life do migrants in Singapore have? What are the trends in earnings, savings and remittances? Whom do they remit to? Is there any gender differentiated pattern in remittance receiving? What are the trends in the use of remittances? Who decides where to use remittances? What role do remittances play in family dynamics? These questions were investigated through a survey of 100 Bangladeshi migrant workers in Singapore and 50 households in Bangladesh which have a family member working in Singapore.

This paper starts by presenting the theoretical issues related to the remittance behavior of migrants in the light of the ongoing debate on migration and remittances. This is followed by a brief description of data sources and the characteristics of survey respondents. A background on the Bangladeshi labor migration to Singapore is also provided. Subsequent sections focus on the various aspects of the remittance process at both the sending and receiving ends. The final section gives a summary of the findings of the study, with emphasis on their policy implications.

### *Theoretical Issues*

There are two strands of literature that explore the remittance behavior of migrants (see Osaki, 1999; Amuedo-Dorantes and Pozo, 2006; King et al., 2006; Asis, 1995, 2006a; Guzmán et al., 2008). One strand looks at migrant behavior in terms of earnings, savings and remittances at the remittance-sending end. The other strand of literature focuses on the impact of remittances using data from remittance-receiving households or some macro level data.

However, relevant issues concerning the context in which remittances are sent and received also demand equal attention in any discussion on

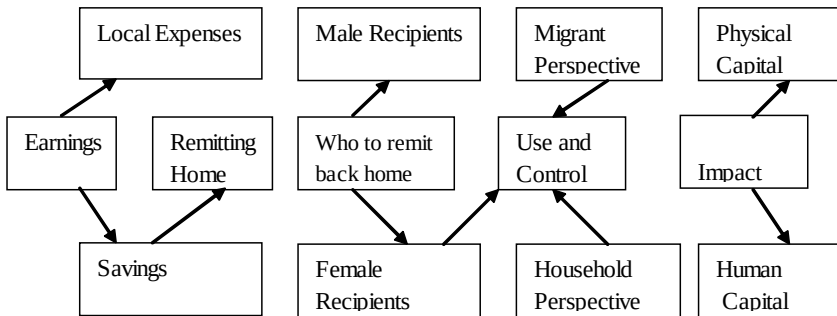
remittances. Some of these issues include recruitment, expenses incurred in the migration process (a major financial cost associated with the migration project), earnings, living expenses, savings, and the social experiences of migrants overseas. These issues are interrelated and are influenced by each other. For instance, the recruitment process and the financial costs of migration influence how remittances are used (e.g., in debt repayment) while earnings, local expenses, and savings affect the quantity and frequency of remittances.

Thus, a whole range of issues in the remittance-sending country influences the migrants' capacity to remit cash to their families. This is particularly relevant in the context of temporary labor migration in Asia where migrant workers are recruited under specific labor migration programs and policies (i.e., no provision for family reunification, limiting of employment to a designated employer, ban on marriage to citizens, and other restrictions on migrant workers' rights and movements) designed to ensure that unskilled migrant workers return to their home countries at the end of the contract period (Asis and Piper, 2008; Lian and Rahman, 2006). Without the option of family reunification, families live under 'transnationally split' conditions, where non-migrating family members are 'left behind' (Yeoh et al., 2002). A study on remittances should take this reality into consideration.

The context in which remittances are received is likewise affected by a number of factors, such as the gender of recipients, remittance control, uses of remittances, and implications of such usage on the development dynamics in the households. These may clarify some of the contentious issues related to the migration-development debate. The relationship between migration and development has been at the core of migration research since the beginning of the debate in the 1970s (see Appleyard, 1989; Battistella and Paganoni, 1992; Papademetriou and Martin, 1991; Hammer et al., 1997; Faist, 2008; De Haas, 2005). Recently, however, a new wave of research on the migration-development nexus focusing on the context of Asian labor migration is emerging (Hugo 2003; Asis, 2006b; Baggio, 2007; Moses, 2009).

Much of the literature on remittances and development has focused on whether remittances were used on productive investment or on consumption. The dominant assumption on migrant remittances is that they are used mostly for recurrent family expenses as 'income' and for 'consumption' (De Haas, 2005). However, there is a growing dissatisfaction over the use of such economic concepts as 'productive' and 'nonproductive' use of remittances (Piper, 2009). This dissatisfaction led some scholars to use the alternative terms 'physical' and 'human' capital (Salomone, 2006; Piper, 2009), based on the principle that both contribute to the development of capital at the household level, albeit the nature of capital formation differs. It is within this broader context of development that this research is located.

FIGURE 1  
CONCEPTUALIZING REMITTANCES AS A SOCIAL PROCESS



The effects of remittances can be better understood when examined within the household context, since what is considered advantageous at the national level may prove to be detrimental to a household or community or vice-versa. Although macro-level approaches to migration outcomes reveal national patterns and findings, they cannot capture what remittances mean for migrant families. Since remittances are private money, a household/family perspective to remittances is important. An understanding of micro-level impacts of remittances, especially the underlying factors contributing to, or impeding the development potential of remittances at the household level, would help formulate and implement policies and programs to harness the development potential of remittances.

Figure 1 illustrates the remittance process, beginning with the migrants' earnings, expenses and savings, remittance-sending behavior, remittance-receiving behavior and finally, the use of remittances and its impact on family dynamics. Figure 1 is adapted and expanded from Ullah and Panday (2007:125) and Rahman and Lian (2009:107). While Ullah and Panday indicate the channels of remittance transfers and Rahman and Lian suggest gender dimensions of remittances, I extended the analysis by including an examination of the four dimensions of the remittance process mentioned earlier – a scheme which underscores the analysis of remittances as a social process.

## Data Sources

This paper is based on primary data collected in Bangladesh and Singapore. The survey in Singapore, conducted in the second half of 2009, involved face-to-face interviews with 100 Bangladeshi male workers. The survey was

limited to male workers because Bangladeshi migration to Singapore is a male phenomenon. The questionnaire had both structured and unstructured questions. A purposive sampling technique was employed in selecting respondents because of the lack of information about the universe of the Bangladeshi population in the city-state. About three quarters of the respondents were in the age group of 25 to 30 years and 58 percent were unmarried. Seventy-seven percent of respondents had completed secondary education and seven percent had graduated from degree colleges in Bangladesh. Compared to a previous survey conducted in 2000, this study found higher educational credentials among recent Bangladeshi migrants in Singapore (Rahman and Lian, 2005:68).

Nearly half of the respondents were students prior to migration to Singapore. Almost all of them (92 percent) lived in an extended family arrangement (i.e., two generations sharing a house). The average number of family members left-behind was 6.4. Most respondents were working in the construction industry in Singapore, a sector dominated by migrant workers from South Asia. About half of the respondents had been working in Singapore for a period of four to 10 years or more. Although migrants can avail of unpaid home visits in between contracts, many chose to work in Singapore instead. Hence, a number of respondents had been working and living in Singapore for an extended period of their life cycle.

Surveys on migrant workers and migrant households usually include questions on remittances, particularly on the amount of money sent and how it is used. Researchers who collect such data are often confronted with discrepancies between the actual amount of remittances received and their usage on the one hand and the information reported to the interviewers on the other. These discrepancies may be due to a reluctance among respondents to disclose such information to outsiders, a common problem among researchers dealing with questions involving money matters. Also, the information provided may be inaccurate as most households do not maintain daily records of how remittances are used. Despite the sensitivity of the questions and potential for biased responses, the survey was able to identify areas of remittance use, especially where expenditures are recurrent - including daily expenses - even when the amount is negligible. To obtain such information, respondents were asked to list, in the order of priority, the top five areas for remittance use in the "near past" and "near future."<sup>2</sup> This

<sup>2</sup> In major labor-receiving countries in Asia, migrant workers are usually issued work permits valid for two years with an option for renewal. Those who were interviewed in the study were migrants who had been working in Singapore for at least one year prior to the survey. By the term, 'near past' I am referring to the initial year/s of the current contract; and by 'near future' to the remaining period of the contract or stay.

alternative method of collecting remittance information, which documents priorities and timelines in remittance use, has the potential to generate more accurate data and capture the dynamics of remittance use within the household.

The fieldwork in Bangladesh involved interviewing selected households that had a family member working in Singapore. These households were not matched with the migrants interviewed in Singapore, but eligible households were those with a male family member working in Singapore for at least a year, and the migrant has been remitting to his household of origin for at least a year. The fieldwork was carried out in the district of Tangail, north of Dhaka, the capital of Bangladesh, an area where many Singapore-bound migrants hail from. An interview schedule made up of both structured and unstructured questions was used to survey 50 selected migrant households. Interviews were conducted in the second half of 2009. The respondents for the selected households were the recipients of remittances.

Twenty-eight percent of respondents were fathers, and 20 percent were brothers, compared to 12 percent and eight percent being mothers and wives, respectively. Sixty percent of the respondents were over the age of 30 years. The majority of the migrants overseas (62 percent) were married. The majority of the families (38 percent) consisted of 5 to 6 members. Farming is the main source of income for Bangladeshi rural households but 70 percent of the migrant households in the sample did not possess sufficient land for subsistence living. Fifty-two percent of families had one working member earning in Bangladesh, while 36 percent had no family member engaged in the local economy. In 62 percent of the households, migrant members had been working in Singapore for four years or more.

### *The Context of Labor Migration from Bangladesh*

During the early 1980s, the newly industrializing countries in East and Southeast Asia had a heightened demand for low-skilled manpower. Unable to fill the demand with its local workforce, these rising economies decided to open their doors to foreign labor, thus paving the way for the entry of low-skilled Bangladeshi migrant workers to these countries.

Singapore rose to become a major destination country for foreign workers and professionals. Since the 1980s, unskilled foreign labor has flowed into Singapore in substantial numbers because of job opportunities (Stahl, 1984:37). Hui (1997) identifies three contributory factors for the sustained demand for low-skilled foreign manpower in Singapore: a tight domestic labor supply, an increasingly better qualified workforce (one in three hold post-secondary qualifications), and the Singaporeans' general



aversion to jobs that are considered dirty, dangerous and demeaning. The government's policy on low-skilled workers is restrictive and has remained committed to ensuring that "low-skilled foreign manpower is managed as a temporary and controlled phenomenon" (Yeoh, 2004:19). In other words, low-skilled foreign workers are "relegated to the most transient of categories – subject to the 'use and discard' philosophy" (Yeoh et al., 2000:151). Data from the Ministry of Manpower show that as of December 2009, there were about 856,000 work permit holders in Singapore. Of this, 196,000 are domestic workers (*The Straits Times*, A4, 23 February 2010).

As in other labor importing countries, migration to Singapore is demand-driven, a system that serves both employers and migrants. On the one hand, it satisfies the need of employers for sufficient manpower, thereby increasing the potential to generate more benefits for the host country. On the other hand, it benefits migrants and their home countries because of the remittances that go directly to the migrant families who often really need them.

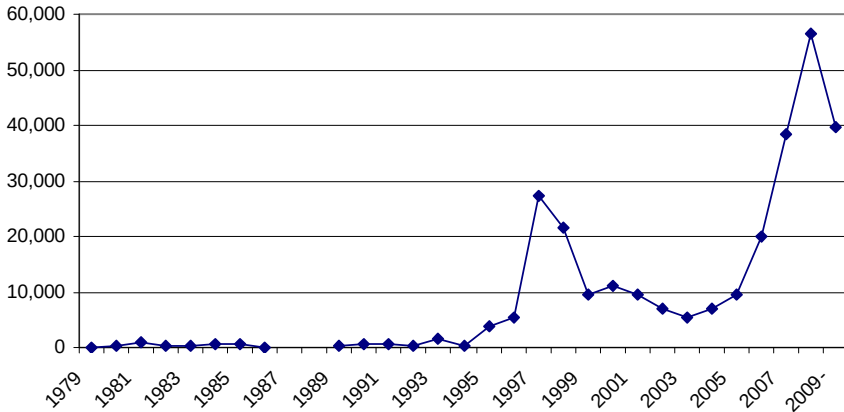
Singapore offers some programs for semi-skilled foreign workers<sup>3</sup> such as the Skills Evaluation Certificate and the Skills Evaluation Certificate (Knowledge), to enhance skill levels and productivity of foreign workers in the construction sector. These schemes benefit both workers and employers. Migrant workers who have earned skill certificates in their areas of work are offered the possibility of extended stay, presently up to 15 years. They are also allowed to take a leave to visit their families back home during their contract period. This provision of long-term employment opportunities with corresponding economic rewards and regular family visits is meant to contribute to the development potential of migration at the micro level. For employers, they pay a lower levy for hiring skilled migrant workers. This method of managing temporary migration has long been practiced in Singapore, as temporary migration is a permanent phenomenon in the country. As a result, prospective migrant workers are able to consider temporary migration as a permanent career option through extended stays over one's life-cycle.

Bangladesh has experienced substantial emigration in the last three decades (Ahmed, 2000; Siddiqui, 2001; Rahman 2009a). Between 1976 and 2009, approximately seven million documented migrants have left for abroad and generated remittances for the country. According to official

<sup>3</sup> Singapore's work passes currently consist of the Employment Pass, S Pass, and Work Permit. Employment Pass (P1, P2 and Q1) and S Pass are offered to professional and skilled migrants while Work Permit (R1 and R2) is offered to semi-skilled and unskilled migrant workers. For more details, see "Passes & Visas," <http://www.mom.gov.sg/FOREIGN-MANPOWER/PASSES-VISAS/Pages/default.aspx>



FIGURE 2  
FLOWS OF BANGLADESHI MIGRANTS TO SINGAPORE, 1979-2009



SOURCE: Compiled from BMET data, available at [http://www.bmet.org.bd/Reports/Flow\\_Migration.htm](http://www.bmet.org.bd/Reports/Flow_Migration.htm), accessed on 29 September 2009.

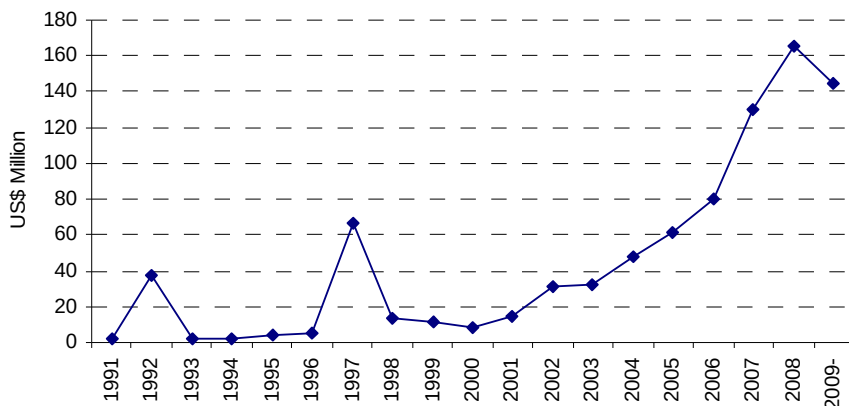
estimates, Bangladesh received around US\$68 billion in remittances between 1976 and 2009.<sup>4</sup> Some one million Bangladeshis had migrated to East and Southeast Asia, with Singapore being one of the largest recipients of Bangladeshi migrants,<sup>5</sup> second only to Malaysia. According to data from the Bureau of Manpower Employment and Training (BMET), around 240,016 Bangladeshi workers migrated to Singapore for work between 1979 and 2009 (Figure 2). Presently, some 70,000 Bangladeshi migrant workers are believed to be in Singapore.<sup>6</sup> Meanwhile, Figure 3 shows a rising trend in the remittances sent by Singapore-based Bangladeshi migrants to their

<sup>4</sup> BMET statistics, accessed on 27 May 2010. Also available at <http://www.bmet.gov.bd/BMET/statisticalDataAction>.

<sup>5</sup> This cumulative figure comes from the Bureau of Manpower Employment and Training (BMET), the official source of data on labor migration from Bangladesh – [http://www.bmet.org.bd/Reports/Flow\\_Migration.htm](http://www.bmet.org.bd/Reports/Flow_Migration.htm) accessed on 29 September 2009. The BMET is responsible for collecting data on migrants who used the formal channels. BMET data do not include unauthorized migrants. Also, BMET does not collect data on returning migrants.

<sup>6</sup> The actual number of Bangladeshi migrants in Singapore is not available from the Bangladeshi side or the Singapore side. Thus, I used media sources (e.g., articles in Singapore's *Straits Times*), available published data and my personal observations to reach an estimate of about 70,000 at present.

FIGURE 3  
INFLOWS OF REMITTANCES FROM SINGAPORE TO BANGLADESH 1991-2009



SOURCE: Compiled from different sources; for the years 1991 to 2004, BMET sources <http://www.bmet.org.bd/report.html>, accessed on 7 May 2007; for years 2005 to 2009, Bangladesh Bank website, accessed on 29 September 2009, <http://www.bangladesh-bank.org/econdata/wagermidtl.php>.

home country. Remittances between 1991 and 2009<sup>7</sup> reached approximately US\$860 million. As the Singapore-Bangladesh remittance corridor is also a major regional hub for *hundi*,<sup>8</sup> actual remittance inflows are believed to be much higher (Rahman and Yeoh, 2008).

<sup>7</sup> The actual number of Bangladeshi migrants in Singapore is not available from the Bangladeshi side or the Singapore side. Thus I used media sources (e.g., articles in Singapore's *Straits Times*), available published data and my personal observations to reach an estimate of about 70,000 at present.

<sup>8</sup> The kind of informal funds transfer system found among South Asian migrant workers in general and Bangladeshi migrant workers in particular in the major host countries of East and Southeast Asia is popularly known as *hundi* (Rahman and Yeoh, 2008). Informal systems exist in different countries in different names and forms, for example, *hawala* (India, Pakistan and the Middle East), *hundi* (Pakistan and Bangladesh), *fei-ch'ien* (China and Southeast Asia), *chit* (China), *chop* (China), *hui kuan* (Hong Kong), *padala and paabot* (the Philippines), *phei kwan* (Thailand), *chuyen tien tay ba* (Vietnam), *kyeyo money* (Uganda), and *mali a mbeleko* (Zambia) (see Rahman and Yeoh, 2008). It is discussed in more detail elsewhere in the paper.

## *Context of Remittance-Sending*

### *Recruitment*

How migrant workers are deployed to overseas jobs is an important stage in the overall migration process. There are four channels for international labor migration from Bangladesh, comprising of the Bureau of Manpower Employment and Training (BMET), the Bangladesh Overseas Employment Services Limited (BOESL), private recruiting agents, and individual initiatives assisted mainly by kinship networks (see Siddiqui, 2001; Rahman, 2009a). Since the early 1980s, private recruiting agencies have been playing an increasingly important role in the recruitment process to some destinations, especially the Middle East and selected East and Southeast Asian countries. The role of recruiting agents and brokers is vital to labor migration from Bangladesh because they provide migrants with information or contacts. With the maturation of migration flows, the role of recruiting agencies and migrant brokers has become complementary.

While migrant networks usually prepare the job contract from Singapore, the procedures for the final approval from BMET (the Bangladesh government body that documents and issues approval for emigration) are carried out by the recruiting agents. For migration to Singapore, a prospective migrant needs an In-Principle Approval (IPA)<sup>9</sup> for a work permit from the Ministry of Manpower, Singapore. The IPA is issued with the name and the passport number of a prospective migrant. Recruiting agents in Singapore apply for the IPAs and they are also required to present documents to prove that there is a genuine demand for foreign manpower by different companies.

Migrant brokers are usually individuals who have had overseas working experience, which enable them to build networks with recruiting agents and the top management of various companies. They use these networks to secure IPAs. Recruiting agents from Bangladesh do not have this advantage; instead, they work with counterparts in Singapore. Both migrant brokers and recruiting companies employ (local) agents separately at the village level to collect fees on behalf of the main agents. These local-level agents charge a fixed commission for their services, usually ranging from five to 10 percent of the total cost of migration (which is discussed below).

Migrant brokers usually tap their family members or close relatives to talk to prospective migrants or even provide financial support if necessary.

<sup>9</sup> Migrants from non-traditional source countries like Bangladesh are first given IPAs when they arrive in Singapore and are offered a work permit only after passing the medical tests.

Local-level agents send the prospective migrants' passports and some cash to the main recruiting agents usually located in Dhaka, the capital of Bangladesh, or to migrant brokers in Singapore to initiate the recruitment process. Generally, local agents or the close relatives of migrant brokers overseas collect migration fees from as many prospective migrants as they are able to, leading to a situation where some prospective migrants become exposed to exploitation (Rahman and Lian, 2005). However, the close relatives of migrant brokers overseas are often more reliable and trustworthy than local agents as they are usually from the same community.

### *Financial Cost of Migration to Singapore*

Securing overseas employment entails a considerable amount of cash to complete many migration requirements. The expenses incurred vary according to such factors as skills levels, access to information, nature of ties with migrant brokers and local agents, presence of relatives in Singapore, and prior migration experiences. At the time of the study, the financial cost of migration ranges from a low of Tk.50,000 (US\$727) to a high of over Tk. 400,000 (US\$5,816) (Table 1). Around 63 percent of respondents spent between Tk.200,000 and Tk.400,000 or more. A small percentage of respondents (11 percent), i.e., those who had prior migration experience in Singapore, spent only between Tk.50,000 to Tk.100,000. Since they worked as semi-skilled migrants in Singapore, the financial cost of recurrent migration fell to below Tk.100,000. The average cost of migration for the sample population was Tk.287,100, which is around US\$4,172 as of October 2009 (exchange rate US\$1=Tk.68.83). The financial cost of migration has increased over the last few years. According to a study conducted in 2000, 45 percent of migrants spent between Tk.190,000 and Tk.220,000 for migration (US\$1=Tk.50 in 2002) (Rahman, 2004).

Data from the study reveal that the funds for migration came from various sources (Table 1). Most migrants financed their migration venture with the use of family savings (95 percent), followed by loans or gifts from relatives and friends (62 percent), and selling of land and family valuables (33 percent). In a 2000 study, 53 percent of migrants had relied on family or personal savings and 43 percent on remittances (from relatives abroad) (Rahman, 2004). It is obvious that remittance, in the form of loans from relatives abroad, plays a vital role in meeting the cost of migration.

### *Social Conditions of Migrants in Singapore*

In general, migrant workers hope to make as much money as possible in work stints ranging from one to two years. This strong economic motiva-

TABLE 1  
FINANCIAL COST OF MIGRATION AND SOURCES OF FUNDS FOR  
MIGRATION PASSAGE, (N=100), 2009

| Amount of cash spent for<br>migration passage<br>(BDT Bangladesh Currency) | Percent | Sources of Funds for<br>Migration Passage             | Percent |
|----------------------------------------------------------------------------|---------|-------------------------------------------------------|---------|
| 50,000 to 100,000                                                          | 11      | Family Savings                                        | 95      |
| 100,000 to 150,000                                                         | 17      | Relatives and Friends overseas                        | 62      |
| 150,000 to 200,000                                                         | 9       | Selling or Mortgaging of Land<br>and family valuables | 33      |
| 200,000 to 250,000                                                         | 12      | Personal Savings                                      | 21      |
| 250,000 to 300,000                                                         | 15      | Loan with interests                                   | 9       |
| 300,000 to 350,000                                                         | 15      | Miscellaneous                                         | 6       |
| 350,000 to 400,000                                                         | 13      |                                                       |         |
| 400,000 and Above                                                          | 8       |                                                       |         |

NOTE: Exchange Rate US\$1= Tk.68.83 in October 2009

tion shapes the everyday life of migrants in Singapore. For the most part, the daily life of migrants involves working at construction sites, and upon returning to their dormitories or shelters, they take some rest, prepare food, and talk about problems at work and at home with their fellow migrant workers before they go to bed. When they wake up the next day, they follow the same routine. Some of the important aspects in a migrant's life abroad are housing, health care, and social and recreation facilities.

Employers are required to provide acceptable housing for foreign workers in the construction sector in Singapore. Bangladeshi migrant workers are offered accommodations either in dormitories or at worksites. Both are equipped with basic amenities like living space, running water, and cooking and sanitation facilities. However, dormitories are usually better equipped than the accommodations at worksites. Newly-built workers' dormitories also provide entertainment and health care facilities as well as venues for religious activities (prayer halls).

Upon arrival in Singapore, migrant workers are required to go through medical examinations. It is the employer's responsibility to pay for the medical care and hospitalization of foreign workers under their employ. Since 2008, the Ministry of Manpower has required employers to provide medical insurance coverage for their foreign workers. The required minimum amount of coverage is SG\$5,000 a year for each worker's inpatient care and day surgery during his/her stay in Singapore. This is sufficient to cover nine out of ten hospital charges for a foreign worker, based on statistics from

the Ministry of Health.<sup>10</sup> Aside from insurance, there are also provisions for sick leave and compensation in case of permanent disability or death at the worksites.

There is a growing emphasis in Singapore to promote better working and living conditions for foreign workers. Major leisure activities for them include watching television or Bollywood films and listening to music. Sometimes groups of migrants sit together, sing songs, share with each other their daily work experiences, childhood memories or even their love life. This type of informal gathering known as *adda* often takes place at the migrant workers' residences or in some open spaces near their residences. The *adda* is a peculiar Bengali institution consisting of "agendaless discussions which are not idle gossip, not debate, not crib sessions but all these and more" (Deb and Biswas, 1996:1). The *adda* dominates the leisure time of migrants due to its practical relevance. It entails an exchange of ideas that exposes participants to new thoughts, information and knowledge, which is especially useful for new migrants.

Outdoor recreation usually means Sunday visits to 'Little India,' an ethnic enclave in Serangoon Road for South Asian migrants. Sometimes, as many as 30,000 migrants gather in this place on Sundays to meet up with friends and find comfort in the company of thousands of fellow South Asians on their rest day.

Remitting money on Sundays is a common practice. Remittance houses located at Little India remain open for longer hours on Sundays. Migrants who remit through the informal remittance channel popularly known as *hundi* also visit Little India to seek the services of the *hundiwala* or *hundi* operator. The *hundi* is informal but highly organized and founded on social infrastructures comprising webs of relationships based on kinship, friendship, and regional networks. The *hundi's* activities in Singapore are to: collect money, buy electronic goods or gold to sell back home (Bangladesh), deliver the promised sum and make a tidy profit (see Rahman and Yeoh, 2008). A worker picks his *hundi*, tells him whom the money should go to and this recipient's address, and hands over the cash. Official agencies charge administrative fees; the *hundis* do not. These *hundi* men are usually from the same districts as the migrants. The *hundi* system possesses several distinct features that account for its widespread use in this region. It is a practice based entirely on an honor system and involves cost-free transactions and fast door-to-door service delivery. Moreover, the system is culturally and socially acceptable. Patronage of the *hundi* is deemed to

<sup>10</sup>[http://www.mom.gov.sg/publish/momportal/en/press\\_room/press\\_releases/2007/20070913-MIR.html](http://www.mom.gov.sg/publish/momportal/en/press_room/press_releases/2007/20070913-MIR.html) accessed on 5 October 2009.

TABLE 2  
PATTERNS OF EARNINGS, SAVINGS AND REMITTANCES OF BANGLADESHI  
MIGRANTS IN SINGAPORE (N= 100), 2009

| Monthly Earnings<br>(SG\$)   | Percent | Monthly Savings<br>(SG\$)                       | Percent | Amount remitted,<br>last transfer (SG\$)        | Percent |
|------------------------------|---------|-------------------------------------------------|---------|-------------------------------------------------|---------|
| 300 to 500                   | 1       | 100 to 300                                      | 2       | 300 to 500                                      | 30      |
| 500 to 700                   | 23      | 300 to 500                                      | 24      | 500 to 700                                      | 31      |
| 700 to 900                   | 28      | 500 to 700                                      | 36      | 700 to 900                                      | 20      |
| 900 to 1100                  | 23      | 700 to 900                                      | 18      | 900 to 1100                                     | 4       |
| 1100 to 1300                 | 10      | 900 to 1100                                     | 7       | 1100 to 1300                                    | 6       |
| 1300 to 1500                 | 7       | 1100 to 1300                                    | 6       | 1300 to 1500                                    | 7       |
| Above 1500                   | 8       | 1300 to 1500                                    | 5       | Above 1500                                      | 2       |
| -                            | -       | Above 1500                                      | 2       | -                                               | -       |
|                              | 100     |                                                 | 100     |                                                 | 100     |
| Mean: SG\$1,001<br>(US\$712) |         | Mean: SG\$754<br>(US\$537)<br>75.32% of Incomes |         | Mean: SG\$759<br>(US\$540)<br>75.82% of Incomes |         |

NOTE: US\$1=SG\$1.40, October 2009

enhance a person's social power and status in the village social structure (see Rahman and Yeoh, 2008)

### *Earnings, Savings and Remittances*

Although the majority of migrants work under a daily wage scheme in which they are offered a fixed basic wage that is usually paid fortnightly, there are also other migrants who are employed under a monthly payment scheme. Most migrants like to work beyond the scheduled time called overtime or 'OT.' Overtime pay is usually 1.5 times the normal basic rate per hour. Work on Sundays and public holidays is considered overtime and is paid as such. Table 2 presents monthly earnings, savings and amount of last remittance transfer. The average earnings for each migrant was SG\$1,001 (US\$712). Differences in each worker's access to overtime work and their skills level and position in the company account for the wide range in the wage structure found in Table 2.

The average monthly wage of Bangladeshi migrant workers has increased substantially over time. Lee Hung Tong Henry's study of Singapore's foreign workers in 1999 reports that the majority of workers from non-traditional sources (India, Bangladesh, Sri Lanka) earn only between SG\$ 500 and \$600 per month. This has gone up to approximately SG\$712, as



revealed in a 2000 survey on Bangladeshi migrant workers (Rahman and Lian, 2005: 73), and to present levels averaging SG\$1,001 a month (Table 2). Moreover, when the monthly wage is seen from the perspective of the home country, Bangladesh, which underwent remarkable currency devaluation over the last few years (SG\$1= Tk.27 in 1995; SG\$1 =approximately Tk.50 in 2009), migrants find the wage increase over time to be even more substantial.

Bangladeshi migrants may be termed as 'target savers' in that they try to save as much money as possible from their monthly wages. Almost three quarters (74 percent) of respondents saved between SG\$500 and more than SG\$1500 a month. The average savings per month was SG\$754 (US\$537). This means that Bangladeshi migrant workers saved around 75.32 percent of their monthly income (Table 2). With regard to remittances, 51 percent of migrants remitted between SG\$500 to SG\$900 with 19 percent remitting above and 30 percent remitting below this amount. The average remittance per transfer was SG\$759 (US\$540). This means that migrants remitted around 76 percent of their monthly income in the last transfer.

In the study sample, average earnings, savings and remittances are SG\$ 1,001, SG\$ 754 and SG\$ 759, respectively (Table 2). On average, Bangladeshi migrants saved 75.32 percent and remitted 75.82 percent of their earnings, respectively. There appears to be a minor but noticeable inconsistency in the average savings and remittances. However, this is not surprising because sometimes migrants borrow money from friends if they are required to remit more than what they have saved for some urgent matters or important occasions at home, such as weddings, medical expenses, education-related needs, and so on. In addition, most migrants do not remit money on a monthly basis. This study investigated how many times a migrant remitted money within the three months immediately prior to the fieldwork. Fifty-eight percent of respondents claimed that they remitted twice during the three month-period while 36 percent said they had remitted thrice, that is, once a month. Given the frequency of sending remittances, it is understandable that migrants maintain regular economic contact with families left behind.

## *Context of Remittance -Receiving*

### *Recipients of Remittances*

As recipients are usually trusted to manage the remittances, determining the gender of recipients is crucial to understanding remittances and family dynamics. Although members of the family are the usual recipients of remittances, there are also recipients who are not immediate family mem-

TABLE 3  
 RECIPIENTS OF REMITTANCES BY GENDER: MIGRANT WORKER  
 AND HOUSEHOLD SURVEY, 2009

| Recipients of Remittances    | Migrant Worker Survey (%) | Household Survey (%) | Combining both Surveys (%) |
|------------------------------|---------------------------|----------------------|----------------------------|
| Relationship to Migrant      |                           |                      |                            |
| Parents (Father and Mothers) | 83                        | 41                   | 62                         |
| Spouse (wives)               | 14                        | 8                    | 11                         |
| Brother/Sisters              | -                         | 20                   | 10                         |
| Others                       | 3                         | 31                   | 17                         |
| Sex of Recipients            |                           |                      |                            |
| Male                         | 86                        | 66                   | 76                         |
| Female                       | 14                        | 34                   | 24                         |

bers. In the household survey, parents were the most likely to receive remittances (41 percent). The category "others" registered 31 percent (Table 3). Although 62 percent of the migrants were married, only eight percent of remittance recipients were wives. According to the household survey, 66 percent of remittance recipients were males and the remaining 34 percent were females. Similarly, findings from the migrant worker survey revealed the same pattern – i.e., parents were the most common recipients of remittances. Eighty-three percent of migrant workers mentioned parents as the recipients. Although 42 percent of the migrants were married, only 14 percent of them remitted money to their wives. Based on the migrant worker survey, 86 percent of recipients were males while 14 percent were females (Table 3). Based on both surveys, on average 62 percent of recipients of remittances were parents, 11 percent were wives, while 17 percent were non-members of the migrant's immediate family. Combining household and worker surveys, 76 percent of recipients were males and 24 percent were females.

Remittance receiving was skewed in favor of males, a reflection of the patriarchal family system in Bangladesh. It is beyond the scope of the paper to discuss patriarchal family and gender relations in Bangladeshi society. As noted by other studies, women occupy a lower status than men in Bangladeshi society: women are portrayed as dependent and economically unequal vis-à-vis men (Wood, 1994; Rahman, 2009a). In the rural areas, the movement of women is restricted, they have no control over their earnings, and they cannot own property. This background provides some insight into the gendered nature of remittance receipt. The findings from this study echo what previous studies have observed: that male senior family members exercise control over daily finances and have a decisive voice in any

TABLE 4  
AMOUNT OF REMITTANCES RECEIVED IN THE LAST TRANSFER:  
HOUSEHOLD SURVEY, 2009

| Amount of Cash in Tk.<br>(Bangladeshi Currency) | Migrant Households (%)<br>(n=50) |
|-------------------------------------------------|----------------------------------|
| 10,000 to 20,000                                | 28                               |
| 20,000 to 30,000                                | 20                               |
| 30,000 to 40,000                                | 12                               |
| 40,000 to 50,000                                | 6                                |
| 50,000 to 60,000                                | 10                               |
| 60,000 to 70,000                                | 0                                |
| 70,000 to 80,000                                | 10                               |
| 80,000 to 90,000                                | 2                                |
| Above 90,000                                    | 10                               |
| No Remittances                                  | 2                                |
| Total                                           | 100                              |

NOTE: US\$1=SG\$1.40; US\$1=Tk.68.83 in October 2009

expenditure or borrowing of capital in rural Bangladeshi households (Rozario, 1992; Rahman, 2009a).

### *Amount of Remittances*

In the household survey, the amount of remittance last sent home was investigated to discern the trends of remittance inflows to households. The amount of cash received as remittances by migrant households was almost similar to the findings in the migrant worker survey in Singapore. Most migrant households received small amounts of cash – Tk.10,000 to Tk.20,000 (SG\$200 to SG\$400 or US\$145 to US\$290) in the last transfer. However, 60 percent of households received less than or equal to the amount of one month's savings of migrants in Singapore (SG\$754, approximately Tk. 40,000; or US\$537) (Table 4). Both migrant worker and migrant household surveys revealed that migrant households received remittances almost regularly and the amount of cash received in each transfer was more than sufficient for household expenses in Bangladesh.

### *Use of Remittances: The Migrant Worker's Perspective*

Both migrant workers and the recipients of remittances were asked to list the top five areas in which they had used remittances so far and up to five areas in which they would possibly use remittances in the near future. These questions were investigated to document trends in the use of remittances at

TABLE 5  
USE OF REMITTANCES: MIGRANT AND HOUSEHOLD SURVEYS, 2009

| Areas of Use of Remittances in Bangladesh | Migrant Worker Survey (N=100) |    |             |    | Household Survey (N=50) |    |             |    |
|-------------------------------------------|-------------------------------|----|-------------|----|-------------------------|----|-------------|----|
|                                           | Near Past                     |    | Near Future |    | Near Past               |    | Near Future |    |
|                                           | Rank                          | %  | Rank        | %  | Rank                    | %  | Rank        | %  |
| Savings                                   | 2                             | 55 | 1           | 78 | 3                       | 44 | 3           | 54 |
| Housing                                   | 1                             | 60 | 5           | 19 | 2                       | 50 | 1.5         | 60 |
| Education                                 | 3                             | 51 | 4           | 55 | -                       | 0  | 6           | 10 |
| Land-purchasing                           | -                             | 0  | 3           | 64 | 5                       | 20 | 1.5         | 60 |
| Business                                  | -                             | 0  | 2           | 72 | -                       | 0  | 5           | 28 |
| Debt Repayment                            | 4                             | 24 | -           | 0  | 4                       | 36 | -           | 0  |
| Family Maintenance/<br>Living Expenses    | 5                             | 17 | -           | 0  | 1                       | 74 | 4           | 32 |
| Medical                                   | -                             | -  | -           | -  | 6                       | 18 | -           | 0  |

the household level. Table 5 shows that from the migrant worker's perspective, the top five areas where past remittances were used are as follows: house construction (60 percent), savings (55 percent), education (51 percent), debt repayment (24 percent), and the family maintenance or living expenses (17 percent). In turn, the potential or planned uses of remittances in the near future are as follows: savings (78 percent), businesses (72 percent), land-purchase (64 percent), education (55 percent), and house construction (19 percent).

In comparing past and future (potential) uses of remittances, some new trends have emerged. First, the living expenses of the left-behind family no longer appears to take up a major chunk of the remittances in both past and near future timeframes as previous studies on the Singapore-Bangladesh remittance corridor had reported (Rahman and Lian, 2005:76). This may be connected to the length of exposure of the Bangladeshi migrants to international migration. For instance, 50 percent had been working in Singapore for more than four years, thus they had probably developed local bases of earnings for their families, as reported in other studies on the Bangladesh-Singapore migration corridor (Rahman, 2009a & 2009b). Another interesting finding pertains to the priority given to savings. Table 5 shows that after house construction, savings takes the second position among past uses of remittances. However, it moves up to first position among areas identified for near future use of remittances. This suggests that migrant households are moving from the consumption phase to the savings phase. A third observation concerns the use of remittances for education. The study revealed that education continues to be a major area of use of remittances.

Finally, the use of remittances for investment purposes, such as for business ventures and land purchase, appeared in second (and third positions in the future uses of remittances. This indicates that once migrant households have managed to cope with initial and basic expenditures (e.g., house construction, debt repayment, education), they look forward to using remittances for income-generating activities (businesses) and other investments (land-purchase).

### *Use of Remittances: The Household's Perspective*

Table 5 also shows parallel information on past and future uses of remittances from the perspective of the migrant households. With the exception of medical expenses, all other areas of use that emerged in the household survey (e.g., living expenses, house construction, savings, debt repayment, land purchase) were the same ones also identified in the migrant worker survey although the rankings were different. In terms of past uses of remittances, the following areas received top rank: living expenses (74 percent), house construction (50 percent), savings (44 percent), debt repayment (36 percent), land purchase (20 percent) and medical expenses (18 percent). In the potential uses of remittances, the following emerged: house construction and land purchase (60 percent each), savings (54 percent), family's living expenses (32 percent), business (28 percent), and education (10 percent).

Comparing past and future uses of remittances among respondents in the household survey revealed that living expenses, which ranked first among the expenditures for which past remittances were used, slipped to fourth position among items considered for future use of remittances. In other words, dependence on remittances for basic consumption may be expected to decline for most families. House construction moved from second position as an item of past use to first position for future use, suggesting that migrant households aim to consolidate their position in society by having a newly-built house after their basic consumption needs are fulfilled. It is important to note that a house in the rural setting is more than a place to reside; a house has enormous social significance in the class and status structure of the rural community (Rahman, 2009b). Savings ranked third in both past and future uses of remittances. Presently, many agrarian households have yet to meet their basic needs, hence, they cannot afford to save at this point. As for investments, the use of remittances to purchase land and/or to serve as capital for businesses reveal the household's intent to increase its capacity to generate more income in the near future. Finally, the use of remittances for medical care and education suggests that remittances contribute to human capital formation in migrant households.

TABLE 6  
CONTROL OVER REMITTANCES: THE MIGRANT WORKER'S PERSPECTIVE

| Control over Remittances                                                                                      | Migrant Worker Perspective |
|---------------------------------------------------------------------------------------------------------------|----------------------------|
| Do you decide how the money will be used in Bangladesh?                                                       |                            |
| Yes                                                                                                           | 97                         |
| No                                                                                                            | 3                          |
| Is there any case where your wishes were ignored by your family member?                                       |                            |
| Yes                                                                                                           | 30                         |
| No                                                                                                            | 70                         |
| If there is a disagreement between you and your family as to how to spend the money, whose decision is final? |                            |
| Mine (Migrants' decision)                                                                                     | 37                         |
| Family Members                                                                                                | 63                         |

One common observation for both surveys is that respondents do not perceive future remittances to be used for debt servicing. Whether this has some factual basis, i.e., debt would have been repaid before the "future" timeframe, or is based more on perception of what the desired scenario should be in the future, cannot be answered here. Overall, responses concerning the future uses of remittances tend to be optimistic, i.e., less use of remittances for basic consumption and more for income-generating or for investment purposes. This, however, is more evident in the migrant worker survey than in the household survey, where use of future remittances for the family's living expenses was still ranked third.

### *Remittance Control*

In most patriarchal families in the developing world, the income earners do not necessarily hold the sole authority in deciding how earnings would be spent. Several traditional actors usually intervene in decisions regarding family resource allocations. This study examined who basically controlled remittances, whose wishes were given priority and how remittances influenced the role that recipients played in the decision-making process. Some 97 percent of migrant workers in Singapore reported being responsible for making the decision on how to use the remittances in Bangladesh (Table 6). However, when asked whether the households disregarded their wishes, 30 percent of migrants reported such experience. Only 37 percent of migrants claimed that their decisions had prevailed in cases of disagreement with other family members over the use of remittances. Thus, it is obvious that a good number of migrants did not enjoy full control over the use of their remittances despite their important role as income earners of the family.

TABLE 7  
CONTROL OVER REMITTANCES: THE HOUSEHOLD'S PERSPECTIVE

| Control over Remittances                                                                             | Migrant Household Perspective% |
|------------------------------------------------------------------------------------------------------|--------------------------------|
| If your male migrant member wishes money to be spent in a certain way, do you follow his wishes?     |                                |
| Follow his wishes all the time                                                                       | 32                             |
| Follow his wishes most of the time                                                                   | 36                             |
| Follow his wishes some of the time                                                                   | 30                             |
| Never follow his wishes                                                                              | 2                              |
| As a recipient of remittances, do you presently have more influence on decisions made in the family? |                                |
| More influence                                                                                       | 29                             |
| No change in influence                                                                               | 71                             |

From the household's perspective, 32 percent of respondents claimed to have consistently followed the wishes of the migrants regarding the use of remittances while 66 percent allegedly complied with the migrants' wishes in varying degrees (Table 7). What is interesting is that 29 percent of respondents, most of whom were females, enjoyed more influence in the family decision making after becoming the recipients of remittances. They also enjoyed a higher status through their new role as 'remittance manager.' In the husband-wife remittance route, it is husbands overseas who have become more dependent on their wives to make resource allocation decisions wisely. Management of social relations, the sending of remittances and discussions about competing needs and priorities for the use of remittances are among the dominant topics of regular communications between remitters and recipients. According to this study, remittances influence traditional authority and power relations at the Bangladeshi migrant households although the extent of such influence remains debatable. More in-depth research is needed on the power and authority structure in the migrant community.

### *Remittances and Development Dynamics at the Households*

From the 'social development' perspective (Piper, 2009), all the aforementioned uses of remittances contribute to the improvement of the quality of life of migrant families. However, there is a widely-acknowledged need for better management of the remittance-investment process.

The use of remittances for the family's living expenses and for savings has received considerable policy attention. According to some scholars, the

use of remittances for the family's day-to-day needs can lead to a "passive and dangerous dependency" on remittances (see De Haas, 2005). This study found that indeed a major portion of remittances go to the family. Forty-four percent of migrants were the principal breadwinners for their households (54 percent in the household survey and 30 percent in the migrant worker survey). A more detailed investigation into the economic condition of the migrant families revealed that most lacked resources to meet their basic necessities (food, clothes). Since these households are in rural areas, an inquiry was also made into the size of land holdings. The study found that approximately 70 percent of migrant households reported that they did not possess sufficient land to support their families. Given their precarious economic situation, it is not surprising to find many households relying entirely on migrants' remittances.

This study found that while remittances made a substantial contribution toward savings, what to do with savings was another matter. Previous policies seeking to channel remittances into productive areas of investment have not met with tremendous success (Swamy, 1981; Russell, 1986). For example, Saith (1989) found that the self-employment schemes that governments of labor-sending countries in Asia introduced to transform return migrants into small entrepreneurs had a high failure rate.

In academic and policy circles, migrants are seen as appropriate agents for undertaking investments out of remittances; they are also assumed to be *latent entrepreneurs* (Brown and Ahlburg, 1999). Saith (1989), among others, has questioned the wisdom of adopting policies to transform *migrant-savers* into *migrant-investors*. This study finds that the majority of recipients were *saver-rentiers*, that is, living on interest from savings, and a few were *saver-investors* and again, patterns of investment vary along gender lines: female recipients of remittances show less interest in investments, especially productive assets. A sense of fear and uncertainty among the migrant workers and their families is noticed in relation to investing in business ventures.

Therefore, this study holds the view that it would make better sense for policy to be geared more towards encouraging migrant workers and their families to become more active in domestic capital markets as *saver-rentiers*. It has not been possible to assess policy and responsiveness to policy interventions involving saver-investors and *saver-rentiers* due mainly to the lack of research on this issue in Bangladesh. However, given the crucial role of remittances for household subsistence, it is perhaps safe to assume that a generation of *saver-rentiers* will promote longer-term income security for migrant workers and their families.



## *Conclusion*

The research has identified several relevant issues related to the context of remittance sending such as the recruitment process, expenses incurred in the migration passage, the social lives of the migrants, their earnings, savings and remittances. These factors were found to have influenced the migrants' capacity to remit money back home. Two main actors - recruiting agents and migrant brokers - have been identified as crucial to the recruitment process and to the perpetuation of the Bangladesh-Singapore migration system. The recruitment was costly for prospective migrants; on the average, each migrant incurred migration costs of Tk287,100 or US\$4,172. This was beyond the financial capacity of virtually all migrant households, forcing them to borrow from relatives and moneylenders, sell household valuables and property, and so on. Most migrant workers were motivated to earn as much as they can and this overwhelming economic motivation shaped the everyday lives of the migrants in Singapore. The study has reported average earnings, savings and remittances as SG\$1,001(US\$712), SG\$754(US\$537) and SG\$759 (US\$540), respectively. On average, Bangladeshi migrants saved 75.32 percent and remitted 75.82 percent of their earnings. Ninety-four percent of the respondents remitted twice to thrice in the last three months prior to the survey.

With regard to the receipt of remittances, this study found that recipients were dominated by men. Combining both migrant worker and household surveys, on average, 74 percent of the recipients were males and 24 percent were females. Although 52 percent of migrants in both surveys were married, only 11 percent had sent the remittance to their wives. This gender gap in remittance receiving is ascribed to the patriarchal family system in Bangladesh. As regards the use and control of remittances, this study noted that the recipients enjoyed more privileges in the management of remittances than the remitters themselves. Both migrant worker and household surveys found that migrant households received remittances almost regularly and the amount of cash received was substantial. Since the majority of households had limited land holdings, sending a family member to work abroad was an income-generating strategy. Households with little to no land had a higher number of migrants as the principal economic providers. The frequency of remittances (94 percent of migrants remitted twice or thrice over a three-month period) also confirmed the importance of remittances in the everyday lives of migrant households.

To understand the trends in remittance use and the development dynamics in households, this study introduced near past and near future reference points. Remitters and recipients were asked to rank up to five priority areas for which remittances were used and would be used. Based

on a comparison of past and future (potential) uses of remittances in both surveys, some trends in remittance use emerged. First, the dependence on remittances for the family's living expenses was declining. Second, savings occupied a predominant position in the recent past and potential (future) uses of remittances. Third, house construction had been completed for a majority of the migrants and they intended to purchase land next. Fourth, education and health care were significant areas for remittance use. Lastly, investment in businesses was a future strategy for capital formation. Under temporary migration, migrants generally require a few years to recoup the expenses incurred in the migration process, which delays the positive effects of remittances.

As noted by the study, a portion of migrant remittances was used for the family's living expenses because migrants were the principal economic providers for the left-behind families. Approximately two-thirds of the migrants were forced to be principal economic providers because their households owned no land (and household members did not have other local options) for subsistence living, laying solid ground not only for the economic compulsion for migration but also for the rationale behind the most frequent use of remittances for the family's living expenses. Comparing with what their lives would have been like in Bangladesh, migrants in Singapore are probably economically better off and agents of change for their households although this is tempered by separation from family and by uncertainty about duration of stay and capacity to earn and remit.

Migrants tend to set aside some savings – the question is, what can be done with the migrants' savings. Should they be directed toward investment? Several studies have shown that policies aiming at converting migrants into small entrepreneurs have not met with tremendous success, especially in Asia. This policy assumes that migrants are the appropriate agents for undertaking investment and that they are *latent entrepreneurs*. This study found that the majority of recipients were 'saver-rentiers' and a few were 'saver-investors' and that patterns of investment varied along gender lines: female recipients of remittances showed less interest in investments, especially productive assets. Therefore, this study suggests the pursuit of policies encouraging migrant workers and their families to become more active in domestic capital markets as *saver-rentiers*, a direction that will provide more income security over the long-term. Given the economic situation of migrant households, the amount and frequency of remittances, trends in remittance use, and its implications for migrant households, slowly but certainly migrant remittances can help migrant workers and their families advance on the road to improved life chances.

Research on remittances as a social process is still in its infancy and much work is required to develop an appropriate conceptual and method-

ological schema. This study should be seen as a first attempt to conceptualize remittances as a social process and to integrate different sites or dimensions of remittances, which hope to make a conceptual and methodological contribution to remittance research. One limitation of this study is that it has not been able to draw out family and household dynamics to illustrate the full significance of gender and patriarchy in the remittance process. Identifying the conditions under which migrant households spend more on physical and human capital and the impact of these investments on local economic development remains an important topic for further inquiry.

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